

hungry! It's true that paying managers is a necessary fee, but don't think that a high fee assures superior performance.

Administrative costs –

These include necessities such as postage, record keeping, customer service, cappuccino machines, etc. Some funds are excellent at minimizing these costs while others (the ones with the cappuccino machines in the office) are

Securities transaction fees-

A mutual fund pays expenses related to buying or selling the securities in its portfolio. These expenses may include brokerage commissions. Securities transaction fees increase the cost basis of investments purchased and reduce the proceeds from their sale. They do not flow through a fund's income statement and are not included in its expense ratio. The amount of securities transaction fees paid by a fund is normally positively correlated with its trading volume or "turnover".

Shareholding transaction fees